Introduction to Consideration

The exchange that supports a contractual promise

A bookshop promises to supply a textbook, and you promise to pay £20. Each promise is given in exchange for the other. Now compare a friend's statement: "I will give you £20 tomorrow." If nothing is requested in return, that is normally a promise of a gift rather than a bargain.

This guide introduces consideration in the law of England and Wales for university English students with no legal background. Start with a practical question: *what is being given or promised in exchange for the promise someone wants to enforce?*

1 What does "consideration" mean here?

In ordinary English, consideration can mean careful thought or kindness. In contract law, it refers to a legally recognised return for a promise. It may be an act, a promise to act, or forbearance: agreeing not to do something that one is legally entitled to do.

The Latin expression *quid pro quo* means something for something. It helps describe an exchange, but it is only a starting point: not every benefit, friendly gesture or personal expectation counts as contractual consideration.

THE EXCHANGE	WHERE TO LOOK
A textbook in exchange for £20	The supply of the book and payment, or the corresponding promises.
Translation in exchange for a fee	The work or undertaking to do it, and the payment promise.
A reward for returning a missing bag	The requested return of the bag supports the reward promise.

2 Performance need not happen immediately

A contract may exchange promises about future performance. If a shop promises delivery next week and you promise payment on delivery, consideration can exist before either party performs. A promise to pay is different from actually paying.

3 Consideration is one requirement

For an ordinary contract not made by deed, consideration is generally required. Agreement, intention to create legal relations, certainty and other applicable requirements also matter. Having consideration does not automatically make every transaction enforceable.

A **deed** is a special formal instrument which can make a promise binding without consideration. It must satisfy the relevant execution and delivery requirements. Merely signing an ordinary promise does not automatically turn it into a deed.

Understanding the Exchange

4 Identify the promise and its return

Begin with the promise in dispute. If a translator claims the agreed fee, the client's payment promise is the relevant promise. The translator's undertaking to translate, or requested performance, is the return supporting it.

Then reverse the question. If the client seeks the promised translation, the client's payment undertaking supplies the return. Considering each promise separately makes the exchange easier to see.

FORM	BEGINNER EXAMPLE
An act	You return a bag in response to a reward offer.
A promise	You undertake to translate a notice next week in exchange for payment.
Forbearance	In exchange for an agreed fee, a person undertakes not to exercise a lawful right for a specified period.

5 Benefit and detriment are legal ideas

A benefit may be a right, service or other legally recognised advantage. A detriment may be undertaking a responsibility, giving something up or restricting one's freedom of action. "Detriment" does not necessarily mean injury or a bad deal.

The return must be connected to the bargain. A seller's happiness when a buyer praises the shop is not automatically consideration for a promise to supply a book. Ask what the promise actually requested in exchange.

6 Bilateral and unilateral contracts

A **bilateral contract** exchanges promises: "I promise to translate"; "I promise to pay." A **unilateral contract** exchanges a promise for requested performance: "I will pay if you return my bag."

A unilateral contract can therefore have consideration even though the person searching makes no promise to search. "Only one side makes a promise" is not the same as "there is no exchange."

7 What this introductory idea does not decide

The law recognises distinctions that later guides examine. Consideration must be legally sufficient but need not match the market value of what is received. An act already done before a later promise raises the issue of past consideration. Performing an existing duty raises further rules.

Do not decide these issues simply by saying that someone benefited. Identify the requested return, its timing, and any obligation that already existed.

Two Cases, Two Ways of Explaining

Currie v Misa (1875) LR 10 Exch 153
Dunlop Pneumatic Tyre Co Ltd v Selfridge & Co Ltd [1915] AC 847

8 Currie v Misa: benefit or responsibility

Misa bought bills of exchange from Lizardi & Co. Lizardi owed money to its bankers, Currie and others. A cheque drawn for Misa reached the bankers towards that debt. After learning that Lizardi had stopped payment, Misa's manager stopped the cheque. The bankers sued.

Outcome in the 1875 Exchequer Chamber decision: the bankers won; the judgment for them was affirmed by a majority. A pre-existing debt could constitute value for the negotiable security, received in good faith without notice of a defect in title.

Lush J explained consideration through either a legally recognised benefit to one side or forbearance, detriment, loss or responsibility undertaken by the other. This does not require both a benefit and a detriment as separate tests. The banking dispute is specialised; the definition is the introductory lesson.

9 Dunlop v Selfridge: the price of a promise

Dunlop supplied tyres to dealer Dew under a resale-price arrangement. Dew obtained Selfridge's undertaking to observe Dunlop's prices. Dunlop sought to enforce that undertaking against Selfridge.

Outcome: Selfridge won. Dunlop's House of Lords appeal was dismissed. Dunlop had supplied no consideration supporting the undertaking it sought to enforce. The judgments also discussed privity: the restriction on enforcement by someone outside the contract.

Lord Dunedin adopted Pollock's description of consideration as "the price for which the promise of the other is bought". "Price" here includes an act, forbearance or a promise of either; it is not confined to cash.

10 Who provides the consideration?

The ordinary rule requires consideration from the promisee seeking enforcement. It need not go directly to the promisor: a requested benefit to another person may qualify. In Dunlop, commercial interest in the promise was not enough.

Modern qualification: the Contracts (Rights of Third Parties) Act 1999 can allow an identified third party to enforce a term when its conditions are met. Read the historical case alongside that reform, rather than treating privity as an absolute rule today.

Apply the Idea

11 A short method for analysing a problem

First: identify the promise being enforced.
Second: identify its requested return: an act, a promise or forbearance.
Third: identify who supplies that return and when.
Fourth: examine further rules, including past consideration, existing duties, deeds and third-party rights where relevant.

12 Compare three situations

SITUATION	STARTING ANALYSIS
A bookshop promises a book; you promise the price.	An exchange of promises can supply consideration before delivery or payment.
A friend promises a gift; no return is requested.	Normally no consideration for that promise. Check any separate basis of enforceability.
A reward is offered; you perform its conditions.	Requested performance can supply consideration without a counter-promise.

13 Essential vocabulary

Promisor / promisee: the person making / receiving a promise.
Bargain: an agreed exchange.
Forbearance: refraining from exercising a right.
Detriment: a legally relevant burden or sacrifice.
Enforce: seek a legal remedy for failure to honour an obligation.
Privity: the relationship of being a party to a contract.

14 Check your understanding

1. Does consideration always mean money?
2. Can future promises supply consideration before performance?
3. Must both sides make promises in every contract?
4. Who won the 1875 Currie decision, and who won Dunlop?
5. Is every signed promise without consideration automatically binding?

Answers: 1. No; acts, promises and forbearance may qualify. 2. Yes. 3. No; a unilateral contract can invite performance. 4. The bankers won Currie; Selfridge won Dunlop. 5. No; an ordinary signature alone does not satisfy the requirements of a deed.

Authorities: Currie, 1875 judgment (report reproduction); Dunlop, judgment reproduction; 1999 Act, section 1; deed formalities, 1989 Act, section 1.

Adapted from the supplied Introduction to Consideration lesson, with corrected case names, attribution and qualifications. Examples are simplified for beginners.